

Document 9: Tier 4 — Coherence Engine (Alignment + Conflict Resolution)

Tier 4 is where your framework becomes **decision-ready**.

Tier 2 tells you **what** the setup is. Tier 3 tells you **how strong** it is.

✅ Tier 4 ensures **everything is coherent**, so you **don't** take "mixed-signal" trades that look great on one module but are structurally wrong.

1) Overview

- **Tier:** 4 (Coherence / Validation Layer)
- **Type:** Mostly **Pass/Fail** + optional **small modifier**
- **Role:** Detect **conflicts** between:
 - HTF bias vs LTF trigger
 - Zone vs structure vs participation
 - Stock vs sector vs market regime
- **Precedence:** Runs **after** Tier 2 (S2–S6) + Tier 3 (Enhancements like MTAL/ROC/Peers/RSI/S7)
- **Output:**
 -  **COHERENT** → Trade allowed
 -  **PARTIAL** → Wait/Reduce aggression
 -  **INCOHERENT** → No trade / No entry now

2) What "Coherence" means in your framework

A setup is coherent when:

1. **Context is correct** (S2 zone makes sense in HTF narrative)
2. **Liquidity logic is complete** (S4 not violated / not incomplete)
3. **Structure confirms** (S5 not weak/invalid)
4. **Participation is real** (S6 supports the direction)
5. **Environment supports** (MTAL / Peers / ROC / S7 don't contradict)
6. **No major red flags** (trap signatures / climax / divergence failures)

3) Tier 4 Inputs (What it consumes)

Tier 4 uses the outputs of:

- **S2:** OB / Demand-Supply quality and TF reliability
- **S3:** FVG precision (optional, but negative invalidates)
- **S4:** Liquidity sweep status and depth
- **S5:** BOS/CHoCH structure confirmation (soft/hard rules)
- **S6:** Volume + Delivery + Institutional fingerprint
- **S7:** FII/FPI context (enhancement, not trigger)
- **Tier 3 Enhancements:** MTAL, ROC, Peer convergence, RSI divergence (conditional)

4) Coherence Checklist (6 Pillars)

Think of Tier 4 as 6 pillars. If too many pillars are weak/conflicting → no trade.

Pillar A — Directional Agreement

✅ All major modules should point in the *same direction*:

- S2 zone direction (Demand = bullish, Supply = bearish)
- S4 sweep direction (sweep below demand → bullish reversal; sweep above supply → bearish reversal)
- S5 structure direction (CHoCH + BOS confirms direction)
- S6 participation direction (delivery/volume supports move direction)
- MTAL bias (Monthly/Weekly should not oppose the trade)

Fail Condition (Hard conflict):

- HTF (Monthly/Weekly) is bearish but you're taking a bullish reversal **without HTF demand context**
→ INCOHERENT

Pillar B — Sequence Integrity (Institutional Sequence)

The cleanest institutional sequence you approved is:

1 S2 (HTF Zone) → S4 (Sweep) → S5 (CHoCH/BOS) → S3 (FVG entry) → S6 (Participation confirmation)

Pass:

- This sequence exists fully or at least in a robust variant

Partial:

- Missing S3 (fine) but S2 + S4 + S5 + S6 are strong.

Fail:

- You have S2 but S4 indicates liquidity is **not swept** (semi-gate wait)
- Or S5 is 0 (hard block)

Pillar C — Location Validity (Where the signal happens)

Tier 4 checks if the "trigger" is happening at the *right place*:

- Is S4 sweep happening at/near S2 OB zone?
- Is S5 BOS occurring after sweep (institutional entry model)?
- Is S3 FVG inside/near OB?

Fail Condition:

- Strong S5 BOS but **mid-range**, far from S2 zones + no sweep narrative
→ may be momentum chase / lower RR / higher trap probability



Pillar D — Participation Integrity (S6 must match story)

This pillar is critical in Indian markets.

Bullish reversal coherence expects:

- Delivery % stable/up or Delivery ROC up
- Trade microstructure suggests real money (ATS $\uparrow$ / Trades $\downarrow$ with Value $\uparrow$)
- Avoid climax distribution signals

Incoherence examples:

- Structure bullish (S5 high), but S6 shows:
 - Volume up + Delivery down
 - Trades up strongly + ATS down $\rightarrow$ retail-driven or churn — weak coherence
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Pillar E — Environment Confirmation (Peers / Sector / ROC / S7)

This pillar answers: *Is the move supported by the broader environment?*

Pass:

- Peer convergence positive (sector moving, peers aligning)
- ROC improving (acceleration)
- S7 supportive (not mandatory)

Partial:

- Peers neutral but MTAL strong + S6 strong

Fail (Strong warning):

- Stock bullish signal but sector is breaking down and peers are weak
→ may become a false isolated pop

Pillar F — Red Flag Detector (Trap Conditions)

Tier 4 explicitly checks for trap signatures:

Red Flags:

- S3 negative (setup invalidation)
- S5 failed BOS scenario (exit signal / no new entry)
- S6 climax volume after extended move with weakening delivery (distribution risk)
- Liquidity unswept + price is near entry (likely stop-hunt pending)
- HTF supply overhead very close (upside capped)

If 1 major red flag or 2–3 minor flags:

→ Wait / avoid

Option A (Recommended): 3-State Output

-  COHERENT
-  PARTIAL
-  INCOHERENT



Option B (If you want a number): Coherence Score out of 10

(Not mandatory, but useful for automation flags)

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1	A Direction agreement	0-2
2	B Sequence integrity	0-2
3	C Location validity	0-2
4	D Participation integrity	0-2
5	E Environment confirmation	0-1
6	F Red flags (penalty)	0 to -3
7	-----	
8	Total	0-10 (with penalty)

Interpretation

- 8-10:  Coherent (entry allowed)
- 5-7:  Partial (wait or require better trigger / reduce aggression)
- 0-4:  Incoherent (skip)

Note: This is NOT replacing Tier 2 score — it's validating alignment.

6) Conflict Resolution Rules (Most Important Part)

When modules conflict, Tier 4 defines who wins.

Rule 1 – HTF always wins over LTF

Monthly/Weekly bias + zone context overrides lower TF triggers.

If LTF looks bullish but HTF is at/near supply → reduce or avoid.

Rule 2 – S5 (Structure) overrides “nice-looking” S3 entries

A perfect FVG entry is useless if BOS/CHoCH is absent or invalid.

Rule 3 – S4 “unswept liquidity” overrides early OB entries

If liquidity pool is obvious and not taken → wait (semi-gate).

Rule 4 – S6 participation can downgrade a setup

If participation doesn't support the narrative, don't force it.

Rule 5 – Peer divergence is a caution, not a hard block

Sector weakness reduces conviction, but a strong stock can still move.
Treat as Partial unless other pillars are extremely strong.

Rule 6 – Major red flags block immediately

S5 = 0 → hard block

S3 < 0 → invalidation

Failed BOS (per S5 rule) → exit / no re-entry until new structure forms

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7) Examples (How Tier 4 decides)

Example 1 — Perfect Institutional Reversal (COHERENT)

- S2: Monthly+Weekly demand nested (high)
- S4: Deep sweep below liquidity + reclaim
- S5: CHoCH then BOS with displacement; LTF BOS after sweep present
- S6: Delivery ROC up, ATS up, trades down, value up
- Peers: sector supportive

✓ Output: **COHERENT**

Example 2 — Looks good, but liquidity not taken (PARTIAL → WAIT)

- S2: Strong demand zone
- S4: Liquidity visible but NOT swept
- S5: Minor structure change but not clean
- S6: Neutral

⚠ Output: **PARTIAL** (wait for sweep or clearer BOS)

Example 3 — Structure bullish but participation retail-like (INCOHERENT)

- S5: BOS strong
- S6: Volume high but delivery weak, trades surging, ATS down
- Peers weak

✗ Output: **INCOHERENT** (chase risk)

8) Final Tier 4 Output (What it feeds into Tier 5)

Tier 4 produces one of these:

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- 1 COHERENT → Tier 5 can select strategy immediately
 - 2 PARTIAL → Tier 5 selects “wait / conditional entry / alerts only”
 - 3 INCOHERENT → Tier 5 blocks trade and logs reason

9) Logging (Audit Trail Style — matches your preference)

Whenever Tier 4 blocks or downgrades, it should log:

- Which pillar failed
- What conflict occurred
- What must happen to upgrade to coherent (actionable next condition)

Example log:

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1 Tier4: PARTIAL
2 Reason: Unswept liquidity below demand (S4 semi-gate).
3 Action: Wait for sweep + reclaim OR clear LTF BOS after sweep.
4
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✅ Document 9 (Tier 4 — Coherence Engine) complete.